Columbia Business School

Sangmin Simon Oh
oh@gsb.columbia.edu
Assistant Professor of Finance

B8306: Capital Markets and Investments
Spring 2026
Course Outline and Syllabus

This Version: January 10, 2026

Instructor Details
Professor Simon Oh
Office hours: By Appointment (See Section III for Instructor-led Review Sessions)
E-mail: oh@gsb.columbia.edu

Meeting Times

Section 001: MW - MBA - Full Term 9:00am - 10:30am	Geffen 420
Section 002: MW - MBA - Full Term 10:50am - 12:20pm	Geffen 420
Section 003: MW - MBA - Full Term 2:20pm - 3:50pm	Kravis 490

I. Course Description

This course has three goals:

1. **To introduce the principles of investment and asset management.** The majority of the class is concerned with the valuation of financial securities. The concepts covered are heavily used in personal and professional portfolio management, risk management, and corporate finance applications.

2. **To introduce a set of tools and concepts** that are key to understanding modern financial markets: (a) arbitrage; (b) the term structure of interest rates; (c) portfolio theory, risk control and diversification; (d) equilibrium asset pricing models and the CAPM; (e) efficient and inefficient markets; (f) performance evaluation.

3. **To provide sufficient background knowledge** for students seeking an overview of capital markets and an introduction to advanced finance courses.

Topic Summary (Subject to change)

- 3 classes Overview of Capital Markets
- 6 classes Fixed Income Securities
- 5 classes Equities, Portfolio Choice, and the CAPM
- 6 classes Investment Performance Analysis and Funds
- 2 class Behavioral Finance
- 1 class Taxes and Tax Strategies
- 1 class Course Wrap-up

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Throughout the course, we will address two basic questions:

1. How should we manage and evaluate portfolios of investments?
2. Which methods do we use to value securities?

Connection with the Core

Capital Markets builds on knowledge from Corporate Finance, Managerial Statistics, and Business Analytics courses by advancing students' understanding of asset valuation and investment decisions. **The corporate finance and statistics courses or their equivalents are co-requisites for Capital Markets.** We build on the valuation tools in Corporate Finance, such as time value of money, risk-return trade-offs, the CAPM, cost of capital, and arbitrage. Capital Markets uses many concepts from Statistics, including statistical modeling, random variables and distributions, parameter estimators, hypothesis testing, and regression. Particularly in the portfolio and risk management section, the course uses optimization methods and modeling tools from Business Analytics. Finally, our discussions of the economy's impact on financial markets, especially bond markets, build on ideas from the Global Economic Environment course.

II. Course Materials

Class Notes – We post PDFs of lecture notes and other reading materials on Canvas. Students can download, view, and mark up lectures on their (CBS) tablets or other e-devices.

Readings – The textbook below is a **useful but optional** supplement for this course:

- *Investments* by Bodie, Kane, and Marcus (hereafter BKM), 10th or later edition
- *Solutions Manual for Investments* by Nicholas Racculia, 10th or later edition

Throughout the course, we will list relevant chapters in BKM that correspond to each lecture. The more recent editions of BKM have the same chapter topics and numbers.
Beyond the textbook, **supplementary readings** are available on Canvas, including articles from industry, academia, and the media that relate to key lecture topics.

III. Course Administration

Teaching Assistant
Meha Sadasivam MSadasivam26@gsb.columbia.edu

Review Sessions

There will generally be two review sessions each week. I will conduct one session, and the course teaching assistant will run the other session. We run two sessions to provide you with some extra flexibility and choice. **These sessions are completely optional, and**

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no new material will be covered. You should feel free to contact the TAs with any questions, especially regarding homework assignments.

- Instructor Review Session: Every Friday 9am–10am (Kravis 680)
- TA Review Session: Every Friday 10am–11am (Kravis 680)

I have no scheduled office hours; I have found that most students get their questions answered at the weekly review sessions. However, if you still don't understand something after attending the review session you should make an appointment to see either the course teaching assistant, or to see me.

Groups: Assignments should be done in **groups of maximum 3 students.** Students are responsible for organizing these groups and should add all group members to one of the Assignment Groups on Canvas.

IV. Grading

Students' course grades are based on applying the standard CBS elective grading distribution to overall course scores. The CBS grading curve applies only to the overall course score, not to individual assignments. The components of the overall course score appear below:

- 20% Problem sets and cases (group)
- 25% Midterm exam (individual)
- 35% Final exam (individual)
- 20% Weekly quizzes and class participation (individual)

Problem sets and cases (20%) – There will be in total **six assignments**. All assignments must be submitted online via Canvas and should be done in groups of 3 members. Assignments and solutions will be available only on Canvas. Submitted assignments will be graded on a 0 to 5 scale. Because we may discuss assignment solutions in class, **late assignments cannot be accepted**.

Midterm Examination (25%) – The midterm will be a timed 1.5-hour exam. The exam can be taken virtually anytime during the midterm exam week. The midterm is to be completed individually.

Final Examination (35%) – The final will be a timed 3-hour exam. The exam can be taken virtually any time during the final exam week. The final exam is to be completed individually.

Weekly Canvas Quizzes (20%) – Each week, students must individually take a short quiz on Canvas before the start of the next class. Each quiz consists of three or four review questions based on the week's lectures. Quizzes must be taken individually. Quiz scores count toward your grade. Just taking a quiz (and even scoring a zero) will still get you some credit for the quiz. Not taking a quiz gets you zero credit.

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Exam / Quiz Rules: Students can use any books, references, or computing equipment on exams/quizzes but they cannot communicate with others. During exam/quiz periods, students who have taken the exam/quiz **must not** discuss the exam/quiz with other students who have not yet taken the exam/quiz. The CBS Honor Code applies.

Class Participation – You will gain points by regularly attending class, being prepared, answering questions, asking questions, and generally by providing positive externalities to the other members of the class. You lose points by not coming to class, not participating in the class, not being prepared, and particularly by distracting or disruptive behavior. *Please note that laptops, phones, etc. should be turned off.*

Generative AI Policy– You may use Generative AI tools, such as ChatGPT, for your work in this course, but only in the ways I have specified in the assignments. When you use any of these tools, you must include a disclosure on how you used them to generate your response to the assignment. Please contact me if you have any questions about this policy before submitting your work.